GALIFORM HOLDINGS LTD

DIRECTORS' REPORT AND FINANCIAL STATEMENTS

FOR THE 52 WEEKS ENDED 26 DECEMBER 2009

REGISTERED NUMBER: 3320875

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GALIFORM HOLDINGS LIMITED
DIRECTORS' REPORT

The directors have pleasure in submitting their report and the audited financial statements of the Company for the 52 weeks ended 26 December 2009 *(2008 52 weeks ended 27 December 2008)*

BUSINESS REVIEW AND PRINCIPAL ACTIVITIES

The Company is a wholly owned subsidiary of Galiform Plc, and operates as part of the Galiform Plc Group (the "Group") The Company's principal activities are as an intermediate holding company There have not been any significant changes in the Company's principal activities in the period under review The directors are not aware, at the date of this report, of any likely major changes in the Company's activities in the next financial period

As shown in the Company's profit and loss account, the loss for the financial period amounted to £1,149,000 *(2008 loss of £2,522,000)* The directors recommend that no dividend be paid *(2008 £nil)* The directors are satisfied with the progress of the business

The balance sheet shows the Company's financial position at the end of the period Details of amounts owed to and from the parent company and fellow subsidiaries are shown in notes 5 and 6

The Group manages its operations on a Group basis For this reason, the Company's directors believe that further key performance indicators specific to the Company are not necessary or appropriate for an understanding of the development, performance or position of the business The performance of the Group, which includes this Company, is discussed in the Group's Annual Report which is available at http //www galiform com/ and which does not form part of this report

The Company, as part of the Group, recognises the importance of its environmental responsibilities, monitors its impact on the environment, and designs and implements policies to reduce any damage that might be caused by the group's activities The Company operates in accordance with Group policies, which are described in the Group's Annual Report, which does not form part of this Report

FINANCE RISKS AND OTHER PRINCIPAL RISKS AND UNCERTAINTIES

The Company is financed by an interest-free loan from its ultimate parent and has no third party debt It therefore has no interest rate exposure The Company does not have a bank account, all its cash management, payments and receipts are carried out by fellow Galiform Plc Group companies As such, the Company's financial risk management objectives and policies are those of the Galiform Plc Group, which are contained in the Group's Annual Report, which does not form part of this Report

The Company has no other significant risks and uncertainties, other than those risks that it shares with the Galiform Plc Group, given that the Company's principal activities are owning, leasing, and managing properties on behalf of other Galiform Plc Group companies The Group's risks are discussed in the Group's Annual Report, which does not form part of this Report

GOING CONCERN

After making enquiries and taking into consideration the profitability and financial position of the Company, the directors have formed a judgement, at the time of approving the financial statements, that there is a reasonable expectation that the Company has adequate resources to continue in operational existence for the foreseeable future based on a written commitment of financial support from its ultimate parent company, Galiform Plc, which is legally binding For this reason the directors continue to adopt the going concern basis in preparing the financial statements

EMPLOYEES

The Company had no employees during the period and staff costs amounted to nil *(2008 £nil)*

DIRECTORS

The directors of the Company who served throughout the period, except as noted, were

M Ingle
M Robson
C Bishop (appointed 14 August 2009)
IPH Arnold (resigned 14 August 2009)

No director held any beneficial interest in the shares of the Company at any time during the period

GALIFORM HOLDINGS LIMITED
DIRECTORS' REPORT (Cont'd)

POLITICAL AND CHARITABLE CONTRIBUTIONS

The Company did not make any charitable or political donations during the period (*2008 £nil*)

AUDITORS

Each of the persons who is a director at the date of approval of this annual report confirms that

- so far as the director is aware, there is no relevant audit information of which the Company's auditors are unaware, and
- the director has taken all the steps he/she ought to have taken as a director in order to make himself/herself aware of any relevant audit information and to establish that the Company's auditors are aware of that information

The confirmation is given and should be interpreted in accordance with the provisions of s418 of the Companies Act 2006

Deloitte LLP have indicated their willingness to be reappointed for another term and appropriate arrangements have been put in place for them to be deemed reappointed as auditors in the absence of an Annual General Meeting

REGISTERED OFFICE

The Company's registered office is International House, First Floor, 66 Chiltern Street, London, W1U 4JT

STATEMENT OF DIRECTORS' RESPONSIBILITIES

The directors are responsible for preparing the Annual Report and the financial statements in accordance with applicable law and regulations

Company law requires the directors to prepare financial statements for each financial year Under that law the directors have elected to prepare the financial statements in accordance with United Kingdom Generally Accepted Accounting Practice (United Kingdom Accounting Standards and applicable law) Under company law, the directors must not approve the financial statements unless they are satisfied that they give a true and fair view of the state of affairs of the Company and of the profit or loss of the Company for that period In preparing these financial statements, the directors are required to

- select suitable accounting policies and then apply them consistently,
- make judgements and estimates that are reasonable and prudent,
- state whether applicable UK accounting standards have been followed, and
- prepare the financial statements on the going concern basis unless it is inappropriate to presume that the Company will continue in business

The directors are responsible for keeping adequate accounting records which are sufficient to show and explain the Company's transactions and disclose with reasonable accuracy at any time the financial position of the Company and to enable them to ensure that the financial statements comply with the Companies Act 2006 They are also responsible for safeguarding the assets of the Company and hence for taking reasonable steps for the prevention and detection of fraud and other irregularities

By Order of the Board

C Bishop,
Secretary
27 April 2010

INDEPENDENT AUDITORS' REPORT TO THE MEMBERS OF GALIFORM HOLDINGS LIMITED

We have audited the financial statements of Galiform Holdings Limited for the 52 weeks ended 26 December 2009 which comprise the Profit and Loss Account, the Balance Sheet and the related notes 1 to 9 The financial reporting framework that has been applied in their preparation is applicable law and United Kingdom Accounting Standards (United Kingdom Generally Accepted Accounting Practice)

This report is made solely to the Company's members, as a body, in accordance with Chapter 3 of Part 16 of the Companies Act 2006 Our audit work has been undertaken so that we might state to the Company's members those matters we are required to state to them in an auditors' report and for no other purpose To the fullest extent permitted by law, we do not accept or assume responsibility to anyone other than the Company and the Company's members as a body, for our audit work, for this report, or for the opinions we have formed

Respective responsibilities of directors and auditors

As explained more fully in the Directors' Responsibilities Statement, the directors are responsible for the preparation of the financial statements and for being satisfied that they give a true and fair view Our responsibility is to audit the financial statements in accordance with applicable law and International Standards on Auditing (UK and Ireland) Those standards require us to comply with the Auditing Practices Board's (APB's) Ethical Standards for Auditors

Scope of the audit of the financial statements

An audit involves obtaining evidence about the amounts and disclosures in the financial statements sufficient to give reasonable assurance that the financial statements are free from material misstatement, whether caused by fraud or error This includes an assessment of whether the accounting policies are appropriate to the Company's circumstances and have been consistently applied and adequately disclosed, the reasonableness of significant accounting estimates made by the directors, and the overall presentation of the financial statements

Opinion on financial statements

In our opinion the financial statements

- give a true and fair view of the state of the Company's affairs as at 26 December 2009 and of its loss for the 52 weeks then ended,
- have been properly prepared in accordance with United Kingdom Generally Accepted Accounting Practice, and
- have been prepared in accordance with the requirements of the Companies Act 2006

Opinion on other matters prescribed by the Companies Act 2006

In our opinion the information given in the Directors' Report for the financial year for which the financial statements are prepared is consistent with the financial statements

Matters on which we are required to report by exception

We have nothing to report in respect of the following matters where the Companies Act 2006 requires us to report to you if, in our opinion

- adequate accounting records have not been kept, or returns adequate for our audit have not been received from branches not visited by us, or
- the financial statements are not in agreement with the accounting records and returns, or
- certain disclosures of directors' remuneration specified by law are not made, or
- we have not received all the information and explanations we require for our audit

John Adam (Senior Statutory Auditor)
for and on behalf of Deloitte LLP
Chartered Accountants and Statutory Auditors
London, United Kingdom
27 April 2010

GALIFORM HOLDINGS LIMITED
PROFIT AND LOSS ACCOUNT
FOR THE 52 WEEKS ENDED 26 DECEMBER 2009

	Notes	52 weeks to 26 Dec 2009	52 weeks to 27 Dec 2008
		£000	£000
Administrative expenses		(7)	(7)
Write off of inter company balances		(1,144)	(2,712)
Operating loss		(1,151)	(2,719)
Income from shares in group undertakings		-	192
Loss on ordinary activities before tax		(1,151)	(2,527)
Tax credit on loss on ordinary activities	3	2	5
Loss for the financial period		(1,149)	(2,522)

The results for the current and the prior periods are derived from continuing operations

There are no recognised gains or losses in the current or prior periods other than as stated in the profit and loss account, and therefore no statement of recognised gains and losses has been presented

GALIFORM HOLDINGS LIMITED
BALANCE SHEET AT 26 DECEMBER 2009

	Notes	26 Dec 2009 £000	26 Dec 2009 £000	27 Dec 2008 £000	27 Dec 2008 £000
Fixed assets					
Investments	4		**100,000**		100,000
Current assets					
Debtors	5	**3,920**		36,328	
Creditors: amounts falling due within one year	6	**(72,527)**		(615,786)	
Net current liabilities			**(68,607)**		(579,458)
Net assets/(liabilities)			**31,393**		(479,458)
Capital and reserves					
Called up share capital	7		-		-
Capital contribution reserve	8		**512,000**		-
Profit and loss account	8		**(480,607)**		(479,458)
Shareholders' funds/(deficit)			**31,393**		(479,458)

Approved by the Board of Directors and signed on their behalf by

Mark Robson
Director
27 April 2010

1 ACCOUNTING POLICIES

The accounting policies summarised below have all been applied consistently throughout the current and preceding periods

BASIS OF PREPARATION

The financial statements are prepared under the historical cost convention and in accordance with applicable United Kingdom accounting standards

The financial statements have been prepared on a going concern basis as discussed in the Directors' report on page 1

Under Financial Reporting Standard 1 (revised 1996) 'Cash flow statements', the Company is exempt from the requirement to prepare a cash flow statement on the grounds that it is a wholly owned subsidiary undertaking and a consolidated cash flow statement is given in the financial statements of its ultimate parent company, Galiform Plc

The financial statements include the undertakings for the 52 week period ended 26 December 2009, being the Saturday nearest to the Company's accounting reference date of 30 December The undertakings for the prior period relate to the 52 week period ended 27 December 2008

The Company is exempt from the requirement to prepare Group financial statements under s400 of the Companies Act 2006 since its results are included in the consolidated financial statements of its ultimate holding company, Galiform Plc The financial statements present information about the Company as an individual undertaking and not as a Group

INVESTMENTS

Investments are stated at cost less any provision for impairment

TAXATION

UK Corporation tax is provided at amounts expected to be paid/(or recovered) using tax rules and laws that have been enacted or substantively enacted by the balance sheet date

2. REMUNERATION OF DIRECTORS, STAFF COSTS AND AUDITORS' REMUNERATION

No director received any emoluments for services to the Company during the period *(2008 £nil)*
The Company had no employees during the current or preceding period

The auditors' remuneration for the period is £5,000 *(2008 £5,000)* for audit services In both periods the auditors' remuneration was borne by a fellow subsidiary undertaking, Galiform Corporate Services Limited without any right of reimbursement

3 TAX ON LOSS ON ORDINARY ACTIVITIES

	26 Dec 2009	27 Dec 2008
	£000	£000
UK Corporation tax credit	**2**	2
Adjustment for prior periods	**-**	3
Tax credit on loss on ordinary activities	**2**	5

Factors affecting current period corporation tax

	2009	2008
The taxation credit, as a percentage of loss on operating activities before taxation, is calculated at	**0.17%**	0 07%

3. TAX ON LOSS ON ORDINARY ACTIVITIES (cont'd)

The difference between the total current tax shown above and the amount calculated by applying the standard rate of UK Corporation tax to loss before tax is as follows

	2009	2008
	£000	£000
Loss on ordinary activities before taxation for the period	1,151	2,527
Tax on loss on ordinary activities at the standard rate of 28% *(2008 28 5%)*	322	720
Effects of		
Intercompany debt written off	(320)	(773)
Non-taxable UK dividend income	-	55
Adjustments relating to prior years	-	3
	2	5

The Company also has carried forward capital losses and the potential deferred tax asset of £22 7m (2008 £22 7m) has not been booked These capital losses may be carried forward indefinitely

4 FIXED ASSET INVESTMENTS

	£000
Cost	
At 25 December 2008 and 26 December 2009	552,306
Provision for impairment	
At 25 December 2008 and 26 December 2009	(452,306)
Net Book Value	
At 25 December 2008 and 26 December 2009	100,000

Investments comprise shares in Group companies The principal subsidiaries at 26 December 2009 are listed below All subsidiaries are wholly owned and incorporated in Great Britain, and registered in England and Wales In the opinion of the directors the total value of shares in these companies is not less than the amount at which they are included in the balance sheet

Subsidiary	Principal activity
Galiform Corporate Services Limited	Management services
Howden Joinery Limited	Trade kitchen furniture and joinery
Group People Services Limited	Employment company

5. DEBTORS

	26 Dec 2009	27 Dec 2008
Amounts falling due within one year	£000	£000
Amounts owed by fellow subsidiary undertakings	3,918	36,323
Corporation tax	2	5
	3,920	36,328

6. CREDITORS

	26 Dec 2009	27 Dec 2008
Amounts falling due within one year	£000	£000
Amounts owed to parent undertaking	70,803	582,802
Amounts owed to fellow group subsidiary	1,724	32,984
	72,527	615,786

7 AUTHORISED AND ISSUED SHARE CAPITAL

	26 Dec 2009	27 Dec 2008
	£	£
100 authorised ordinary shares of £1 each	**100**	100
2 allotted, called up, issued and fully paid ordinary shares of £1 each	**2**	2

8. RECONCILIATION OF MOVEMENT IN SHAREHOLDERS' FUNDS/(DEFICIT)

	Share capital	Profit and loss reserve	Capital contribution reserve	Total Shareholders' funds/(deficit)
	£000	£000	£000	£000
As at 27 December 2008	-	(479,458)	-	(479,458)
Loss for the period	-	(1,149)	-	(1,149)
Intercompany balances waived	-	-	512,000	512,000
As at 26 December 2009	**-**	**(480,607)**	**512,000**	**31,393**

During the year, an intercompany loan payable by Galiform Holdings Limited to its parent company, Galiform Plc, was waived As the amount represented funding balances, the gain has been treated as a capital contribution and credited to reserves The Capital Contribution Reserve is distributable

9. ULTIMATE PARENT COMPANY AND RELATED PARTY TRANSACTIONS

The Company's immediate parent company and ultimate parent company and controlling party is Galiform Plc, incorporated in Great Britain and registered in England and Wales

The largest and smallest Group in which the results of the Company are consolidated is that headed by Galiform Plc The consolidated accounts of this Group are available to the public and can be obtained from the Registrar of Companies, Companies Registration Office, Crown Way, Maindy, Cardiff, CF14 3UZ

The Company is exempt under FRS 8 'Related Parties' from the requirement to disclose related party transactions within the Group headed by Galiform Plc on the grounds that it is a wholly owned subsidiary